AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

# Reddit, Inc.

NYSE : RDDT · Mature-Company DCF

$36.86B mkt cap · 186M sh · $954M cash, zero debt · Net cash +$954M ($954M cash, no debt); ~186.4M shares, but ~12%-of-revenue SBC keeps diluting the count; Revenue $2.20B FY25 (+62%); GAAP op margin turned positive to ~20%; FCF ~$0.70B headline (~32%), but ~half is SBC; ~$162, down ~28% YTD; hit ~$300 in 2025 then ~halved; 52-wk ~$106-$283 — extremely volatile post-IPO

2 July 2026 · the qualitative
**$197.76**

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## THE CENTRAL QUESTION

Does Reddit's under-monetized ad engine plus a scarce AI-training corpus outgrow its ~43x FCF price, or does Google/AI-search erode the traffic it rests on?

Reddit trades at ~$30.2B (~$162, down ~28% YTD) — ~43x headline FCF on $2.20B revenue growing ~62% at ~91% gross margin, net cash, GAAP-profitable. The bull is a deeply under-monetized ad engine (ARPU far below Meta) plus high-margin data-licensing/AI deals (Google, OpenAI); the bear is existential — ~40-50% of traffic comes from Google, and AI-search answer-boxes can disintermediate that discovery (a Q4-2025 change already dented growth). On ex-SBC owner FCF, the modal case lands ~-23%: priced for perfection.

## PROBABILITY-WEIGHTED EXPECTED VALUE

**$129.40** expected fair value today
-34.6% vs spot $197.76

### FORWARD COMPOUNDED VALUE

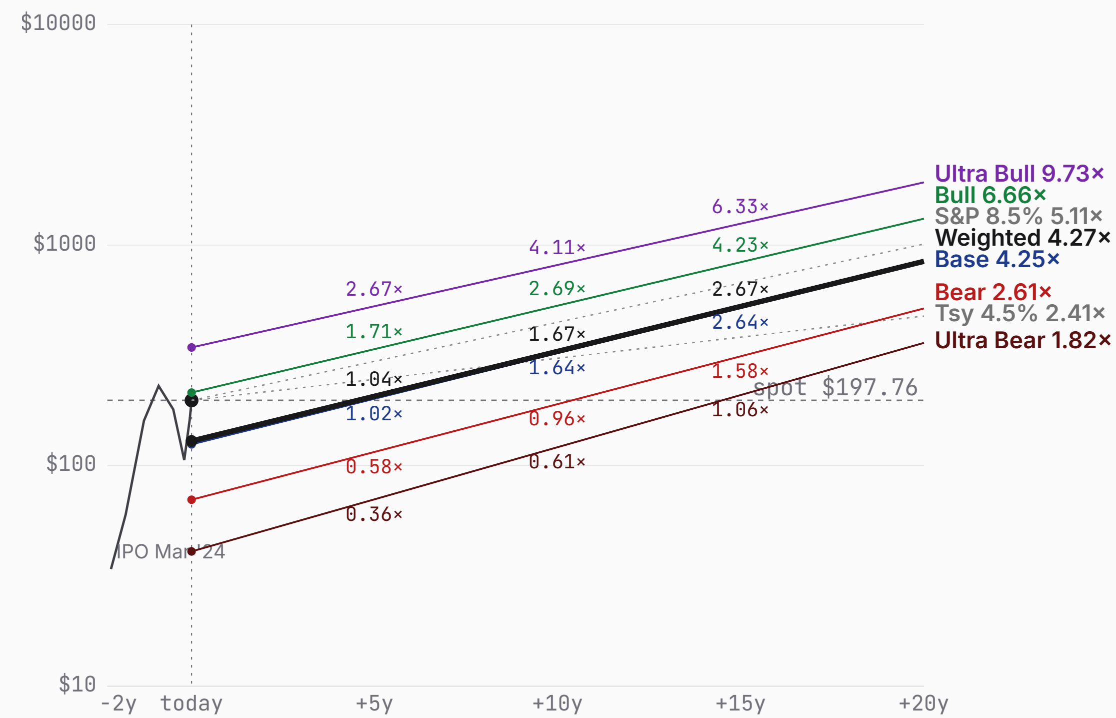
| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $206.54 | $329.93 | $527.49 | $844.07 |
| 1.04× spot | 1.67× spot | 2.67× spot | 4.27× spot |

### WEIGHTING RATIONALE

**Ultra Bear 16%** Google/AI-search erodes traffic; the model de-rates; ~$41 (-75%).
**Bear 27%** Growth decelerates under AI-search pressure; ~$70 (-57%).
**Base 32%** Ad engine compounds, traffic holds, still priced in; ~$125 (-23%).
**Bull 17%** Monetization plus data-licensing inflect; ~$215 (+32%).
**Ultra Bull 8%** Platform plus AI-corpus annuity compound; ~$343 (+112%).

Bull (17%) + Ultra Bull (8%) together contribute $63.95 — 49% of the $129.40 expected value despite 25% combined probability. Today's spot ($197.76) sits 53% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

## PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD




| ULTRA BEAR | BEAR | BASE | BULL | ULTRA BULL |
|---|---|---|---|---|
| $40.87 | $70.10 | $124.95 | $214.52 | $343.49 |
| -79.3% vs spot | -64.6% vs spot | -36.8% vs spot | +8.5% vs spot | +73.7% vs spot |
| CAGR +6.0% WACC 11.5% | CAGR +12.8% WACC 10.5% | CAGR +20.7% WACC 10.0% | CAGR +28.0% WACC 9.5% | CAGR +35.3% WACC 9.0% |
| CAGR +6.0% Prob 16% | CAGR +12.8% Prob 27% | CAGR +20.7% Prob 32% | CAGR +28.0% Prob 17% | CAGR +35.3% Prob 8% |
| Google/AI traffic erodes the model. | Growth decelerates; AI-search pressure caps it. | Ad engine compounds; traffic holds. | Monetization plus data-licensing inflect. | Platform plus AI-corpus annuity compound. |

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

# Reddit, Inc. scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 16% Bear 27% Base 32% Bull 17% Ultra Bull 8% · Weighted expected $129.40 (-34.6% vs spot)

## ULTRA BEAR — $40.87

-79.3% vs spot

Probability 16%

### Google/AI traffic erodes the model.

WHY 16%

The Q4-2025 Google-algorithm change already dented user growth and dropped the stock ~15%; AI-answer cannibalization is the live, asymmetric tail. 16% weight on the traffic dependency turning structural.

WHAT HAPPENS

The existential bear lands: AI-search answer-boxes cannibalize the ~40-50% of traffic that arrives via Google, sessions and ad inventory shrink together, and growth collapses to ~10% then ~5%. Reddit Answers and data-licensing can't backfill a structurally smaller front door, and a once-rich growth story de-rates hard to a low-teens FCF multiple.

Ex-SBC FCF margin holds ~18-24% but on a shrinking base; DCF ~$41 (-75%). When the source of discovery is disintermediated, a 91%-gross-margin model still re-rates to a fraction of a price that assumed durable traffic.

## BEAR — $70.10

-64.6% vs spot

Probability 27%

### Growth decelerates; AI-search pressure caps it.

WHY 27%

Deceleration plus Google-algorithm sensitivity is the plausible 'grows but the engine cools' path; SBC dilution and ad-cyclicality compound it. 27% as the realistic soft outcome.

WHAT HAPPENS

Growth fades faster than the bulls hope: user adds keep decelerating off +17%, Google referral softens (not collapses), and ad ARPU gains slow as the inventory stops compounding. Revenue still grows but ~25% then into the teens, and the scarcity premium on the data-licensing corpus gets competed down.

DCF ~$70 (-57%) — a decelerating, traffic-dependent platform at a mid-teens FCF multiple is worth well under today's price. The market's high-growth premium is unwarranted if the front door is even slowly narrowing.

## BASE — $124.95

-36.8% vs spot

Probability 32%

### Ad engine compounds; traffic holds.

WHY 32%

Requires traffic to hold and monetization to keep climbing — credible given +44% ARPU and the licensing optionality, but it is priced in. 32% as the central, still-negative outcome.

WHAT HAPPENS

The modal path: Google referral holds, the under-monetized ad engine keeps lifting ARPU toward peers, international scales, and data-licensing/AI-training deals (Google ~$60M/yr, OpenAI ~$70M/yr) compound as a high-margin offset. Revenue compounds ~40% then normalizes toward ~10%, ex-SBC FCF margin grinds to ~30%.

DCF ~$125 (-23%) — even with the ad engine working and traffic intact, an ~18x terminal FCF multiple on the honest ex-SBC cash leaves the modal case below spot. The price embeds the bull, not the base.

## BULL — $214.52

+8.5% vs spot

Probability 17%

### Monetization plus data-licensing inflect.

WHY 17%

Under-monetization vs peers leaves real ARPU runway, and the licensing deals show the corpus has scarce, payable value. ~17% weight on both engines firing.

WHAT HAPPENS

The ad engine and the corpus both compound: ARPU closes more of the gap to Meta, international monetization inflects, and the scarce human-generated corpus becomes a recurring high-margin AI-training annuity as more labs license it. Revenue compounds ~55% then sustains mid-teens, ex-SBC FCF margin reaches ~33%.

DCF ~$215 (+32%) — if monetization and data-licensing both inflect while traffic holds, the de-rated entry re-rates with the fundamentals; this is the core of the bull and the only path that clears spot comfortably.

## ULTRA BULL — $343.49

+73.7% vs spot

Probability 8%

### Platform plus AI-corpus annuity compound.

WHY 8%

Everything works — monetization AND the corpus annuity AND a multiple re-rate, with AI demand making the data more valuable, not less. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: Reddit becomes the default monetized discussion graph, ad ARPU rivals the majors, and the human-generated corpus turns into a durable, escalating AI-training annuity across the major labs — a high-margin stream that grows with AI demand rather than being cannibalized by it. Revenue compounds ~70% early, ex-SBC FCF margin reaches ~36%.

DCF ~$343 (+112%) — both Powers fully monetize and the multiple re-rates to a scarce-platform premium; ~8% probability, the asymmetric upside the volatile entry is buying.

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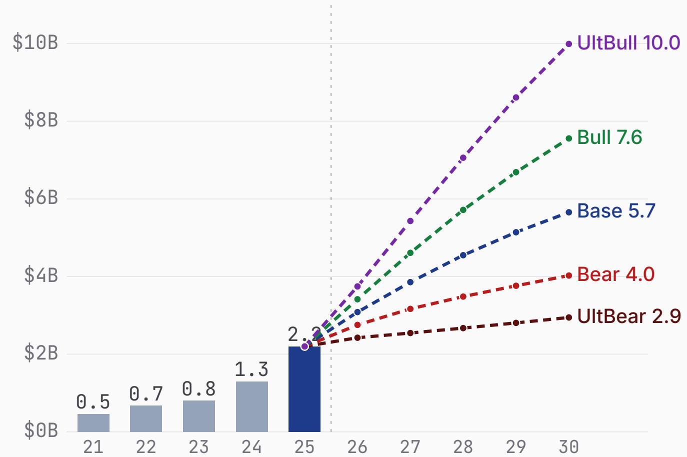
2 July 2026 · the snapshot

# Reddit, Inc. business snapshot

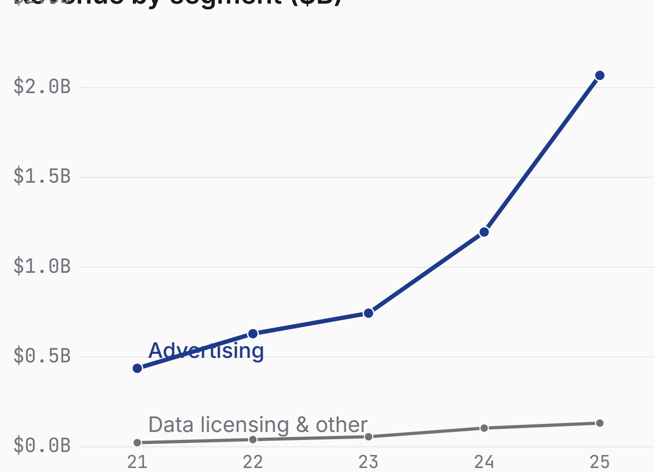
Bear $70.10 Base $124.95 Bull $214.52

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results

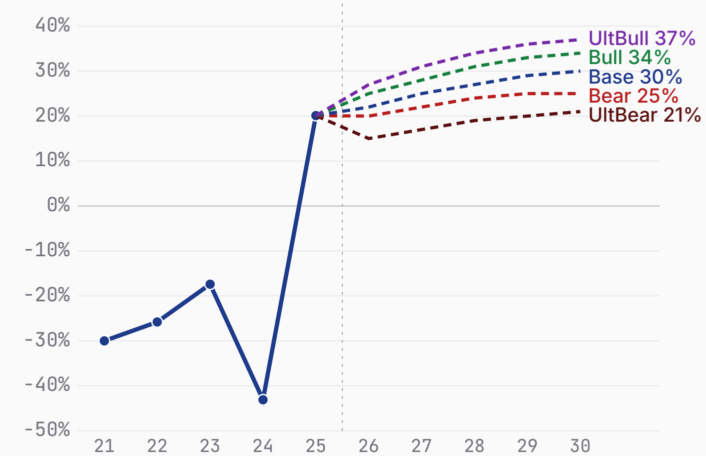
### Revenue ($B) — history + scenarios to FY30



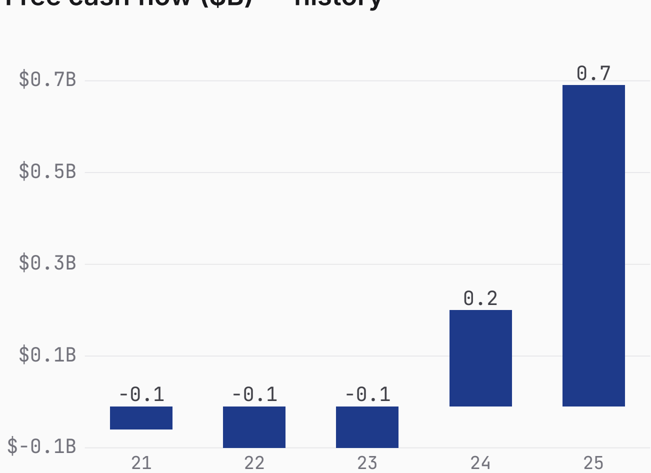

### Revenue by segment ($B)



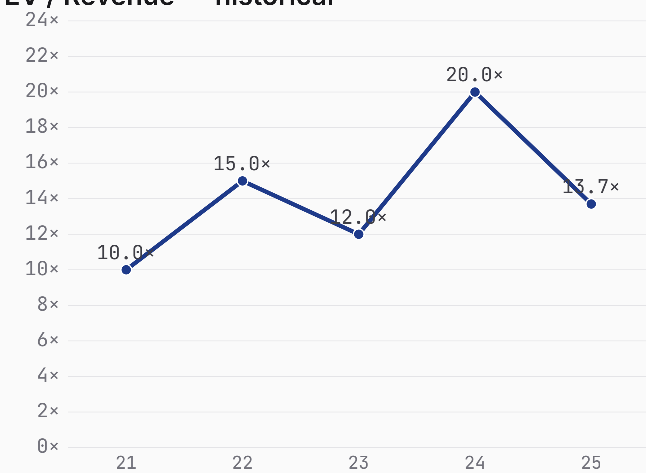

### Op margin — history + scenarios



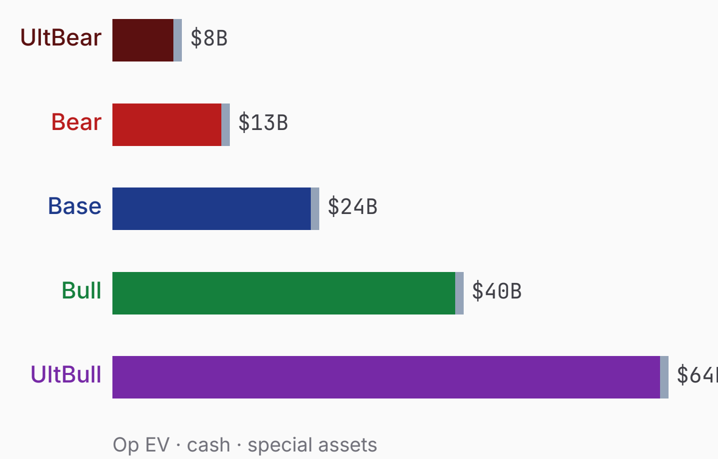

### Free cash flow ($B) — history




### EV / Revenue — historical




### Equity build (Op EV + net cash)




Sources: SEC XBRL company facts (CIK 1713445), Reddit Q1 FY2026 release (revenue $663M/+69%; advertising $625M/+74%; data-licensing & other $39M/+15%; daily active uniques 126.8M/+17%; ARPU $5.23/+44%; FCF $311M/~47%; SBC ~12% of revenue). FCF = revenue x ex-SBC owner FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs Meta/Pinterest/Snap.

# Reddit, Inc. 7 Powers · the moat, scored

Bear $70.10 Base $124.95 Bull $214.52

**Arena.** Digital advertising and the AI-training-data market — Reddit (the community/UGC discussion graph, ~126.8M daily uniques, under-monetized ad engine) vs Meta, Pinterest, Snap for ad dollars and the AI labs (Google, OpenAI) as data-licensing buyers; auditing a network-economies Power against AI-search disintermediation.

**POWER AUDIT**
dominant-power durability: medium

## POWER AUDIT · 7 POWERS

**Scale Economies**
Some ad-infrastructure and content-moderation leverage at ~$2.2B revenue, but small vs Meta/Google; ad-tech scale is years away.

**Network Economies** · thesis leans here
The dominant Power: a self-reinforcing community/UGC graph — more users and subreddits make the content more useful, which draws more users; decades of accumulated discussion are hard to replicate.

**Counter-Positioning**
Pseudonymous, community-moderated, interest-graph format the incumbents don't replicate well, but not a true counter-position they can't follow.

**Switching Costs**
Karma, communities, and moderator investment create some stickiness for power users, but most traffic is casual/search-sourced with no lock-in.

**Branding**
A recognized, trusted 'ask Reddit / real-people answers' brand, but discovery is mediated by Google rather than direct, blunting the brand's pull.

**Cornered Resource**
A scarce, hard-to-replicate human-generated corpus — the live, opinionated discussion data AI labs pay to train on (Google/OpenAI deals); genuinely cornered while licensed exclusively.

**Process Power**
Emerging ad-tooling and AI features (Reddit Answers) lifting ARPU, but unproven as a durable, hard-to-copy process advantage.

## PEER SET

**Meta (META)** — 22% gr · 42% mgn · ~22x EV/FCF
The ad-monetization benchmark — ARPU and ad-tech Reddit is measured against and far below; the under-monetization gap is the bull.

**Pinterest (PINS)** — 16% gr · 25% mgn · ~18x EV/FCF
Closest comp — a mid-cap interest-graph ad platform, profitable, similar monetization-runway debate.

**Snap (SNAP)** — 10% gr · ~3x EV/sales
A scaled social-ad platform that has struggled to monetize and grow profitably — the cautionary comp on the engine cooling.

**Google / OpenAI** — · n/a (counterparties)
Dual role: the data-licensing buyers paying for the corpus AND, via AI-search, the existential threat to Reddit's referral traffic.

## THREAT VECTORS · FALSIFIERS

**Network Economies** · Google / OpenAI AI-search
`falsifier:` Daily-unique growth turns negative as AI answer-boxes satisfy queries without sending traffic to Reddit — the graph stops compounding.

**Cornered Resource** · AI labs / synthetic data / open scraping
`falsifier:` Labs route around paid licensing (open crawls, synthetic data) and the data-licensing premium gets competed down toward zero.

**Scale Economies** · Meta / Google ad-tech
`falsifier:` ARPU gains stall well below peers as Reddit can't match the majors' targeting/ad-tech, capping the monetization runway.

> **COMPETITIVE READ**
> Reddit's network-economies Power is real — a self-reinforcing community/UGC graph and a scarce human-generated corpus (cornered_resource) that AI labs pay to train on. But the Audit's tension is that the same corpus is discovered mostly through Google: ~40-50% of traffic is referral, so AI-search answer-boxes can disintermediate the front door even as the data itself gets more valuable (the Q4-2025 algorithm change already dented user growth). Durability is medium, not high — the graph compounds but its discovery layer is rented from a counterparty that is also a competitor. That squares with the DCF: a 91%-gross-margin, +62%-growth franchise priced at ~43x FCF lands the modal case at ~-23%, because the price embeds the bull's monetization-plus-licensing inflection while carrying an existential, observable traffic risk the distribution puts real weight on.

# Reddit, Inc. show your work

Bear $70.10 Base $124.95 Bull $214.52 · Weighted $129.40 (-34.6%)

## ULTRA BEAR $40.87

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +6.0 |
| Year-5 op margin (%) | 21.0 |
| WACC (%) | 11.5 |
| Terminal growth (%) | 3.0 |
| 5y revenue CAGR (%) | +6.0 |
| Starting revenue ($B) | 2.20 |
| Scenario probability (%) | 16 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 2.42 | +15% | +0.44 | +0.39 |
| FY27 | 2.54 | +17% | +0.51 | +0.41 |
| FY28 | 2.67 | +19% | +0.59 | +0.42 |
| FY29 | 2.81 | +20% | +0.65 | +0.42 |
| FY30 | 2.95 | +21% | +0.71 | +0.41 |

| | |
|---|---|
| Σ PV explicit FCF | +2.05 |
| + PV terminal (g 3.0%) | 4.97 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $7.02B |
| + Cash & investments | $0.95B |
| = Equity value | $7.97B |
| FY30 shares (M) | 195 |
| = Expected per share | $40.87 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $70.43 | $121.38 | $209.18 | $360.50 |
| 0.36× | 0.61× | 1.06× | 1.82× |

## BEAR $70.10

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +12.8 |
| Year-5 op margin (%) | 25.0 |
| WACC (%) | 10.5 |
| Terminal growth (%) | 3.5 |
| 5y revenue CAGR (%) | +12.8 |
| Starting revenue ($B) | 2.20 |
| Scenario probability (%) | 27 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 2.75 | +20% | +0.61 | +0.55 |
| FY27 | 3.17 | +22% | +0.76 | +0.62 |
| FY28 | 3.48 | +24% | +0.87 | +0.65 |
| FY29 | 3.76 | +25% | +0.98 | +0.66 |
| FY30 | 4.03 | +25% | +1.05 | +0.64 |

| | |
|---|---|
| Σ PV explicit FCF | +3.11 |
| + PV terminal (g 3.5%) | 9.40 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $12.51B |
| + Cash & investments | $0.95B |
| = Equity value | $13.46B |
| FY30 shares (M) | 192 |
| = Expected per share | $70.10 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $115.49 | $190.26 | $313.44 | $516.37 |
| 0.58× | 0.96× | 1.58× | 2.61× |

## BASE $124.95

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +20.7 |
| Year-5 op margin (%) | 30.0 |
| WACC (%) | 10.0 |
| Terminal growth (%) | 4.0 |
| 5y revenue CAGR (%) | +20.7 |
| Starting revenue ($B) | 2.20 |
| Scenario probability (%) | 32 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 3.08 | +22% | +0.74 | +0.67 |
| FY27 | 3.86 | +25% | +1.00 | +0.83 |
| FY28 | 4.55 | +27% | +1.27 | +0.96 |
| FY29 | 5.14 | +29% | +1.49 | +1.02 |
| FY30 | 5.65 | +30% | +1.70 | +1.05 |

| | |
|---|---|
| Σ PV explicit FCF | +4.53 |
| + PV terminal (g 4.0%) | 18.26 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $22.79B |
| + Cash & investments | $0.95B |
| = Equity value | $23.74B |
| FY30 shares (M) | 190 |
| = Expected per share | $124.95 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $201.23 | $324.09 | $521.95 | $840.60 |
| 1.02× | 1.64× | 2.64× | 4.25× |

## BULL $214.52

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +28.0 |
| Year-5 op margin (%) | 34.0 |
| WACC (%) | 9.5 |
| Terminal growth (%) | 4.5 |
| 5y revenue CAGR (%) | +28.0 |
| Starting revenue ($B) | 2.20 |
| Scenario probability (%) | 17 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 3.41 | +25% | +0.89 | +0.81 |
| FY27 | 4.61 | +28% | +1.29 | +1.08 |
| FY28 | 5.72 | +31% | +1.72 | +1.31 |
| FY29 | 6.69 | +33% | +2.14 | +1.49 |
| FY30 | 7.56 | +34% | +2.49 | +1.58 |

| | |
|---|---|
| Σ PV explicit FCF | +6.27 |
| + PV terminal (g 4.5%) | 33.11 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $39.38B |
| + Cash & investments | $0.95B |
| = Equity value | $40.33B |
| FY30 shares (M) | 188 |
| = Expected per share | $214.52 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $337.71 | $531.63 | $836.91 | $1,317.50 |
| 1.71× | 2.69× | 4.23× | 6.66× |

## ULTRA BULL $343.49

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +35.3 |
| Year-5 op margin (%) | 37.0 |
| WACC (%) | 9.0 |
| Terminal growth (%) | 4.5 |
| 5y revenue CAGR (%) | +35.3 |
| Starting revenue ($B) | 2.20 |
| Scenario probability (%) | 8 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 3.75 | +27% | +1.05 | +0.96 |
| FY27 | 5.43 | +31% | +1.68 | +1.42 |
| FY28 | 7.06 | +34% | +2.33 | +1.80 |
| FY29 | 8.61 | +36% | +3.02 | +2.14 |
| FY30 | 9.99 | +37% | +3.60 | +2.34 |

| | |
|---|---|
| Σ PV explicit FCF | +8.65 |
| + PV terminal (g 4.5%) | 54.29 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $62.94B |
| + Cash & investments | $0.95B |
| = Equity value | $63.89B |
| FY30 shares (M) | 186 |
| = Expected per share | $343.49 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $528.50 | $813.17 | $1,251.16 | $1,925.06 |
| 2.67× | 4.11× | 6.33× | 9.73× |

# Reddit, Inc. People · Opportunity · Context · Deal

Bear $70.10 Base $124.95 Bull $214.52

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

## PEOPLE · WHO RUNS / OWNS / FUNDS IT

**Steve Huffman** · founder-led — 11 yrs in seat

**3.3%** insider ownership

**HIGH** key-person risk

**Capital allocation (realized)**
Co-founder Steve Huffman has been CEO since returning in 2015 (co-founded 2005); co-founder Alexis Ohanian left the board in 2020. The company turned GAAP-profitable in FY2025 (revenue ~$2.2B, +69%; net income ~$530M) and is net cash (~$2.8B, ~zero debt). Capital allocation is early: a first $1B buyback authorized February 2026 (barely begun), no dividend. AI data-licensing (Google ~$60M/year, OpenAI ~$70M/year) is a high-margin revenue stream — and a strategic dependence.

**Incentive alignment**
Huffman's ~$193M 2023 equity award drew public backlash; it is price-hurdle-vesting ($45/$60/$90) through ~2028. His 2025 base is ~$569K with a 150%-of-salary target bonus. He owns only ~3% economically yet controls ~70.7% of the vote (his super-voting Class B plus an irrevocable proxy over Advance Publications' shares) — a very wide vote/economics gap. Insider selling is small and programmatic (10b5-1).

GOVERNANCE FLAGS

- three-class structure: Class B = 10 votes, Class C = no votes; the high-vote class held ~97% of the vote at IPO
- founder-CEO Huffman controls ~70.7% of the vote on ~3% direct economic ownership — via super-voting Class B plus an irrevocable proxy over Advance Publications' shares
- eligible NYSE "controlled company" (Huffman votes a majority) — but voluntarily complies with all independence requirements
- mitigant: Chair and CEO are separated — independent Chair (Habiger) plus a Vice-Chair; 7 of 8 directors independent; annual elections
- the charter requires Advance's (and, while he is CEO, Huffman's) written approval to select any Chairperson
- CEO pay: the ~$193M 2023 award drew backlash and is price-hurdle-vesting through ~2028
- business dependence on Google search referrals and AI data-licensing (Google / OpenAI)

## THE FOUR LEGS

**People** — ●●○○○
observable composite · 1–5

**Opportunity**
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

**Context**
The 7 Powers analysis (Power Audit)

**Deal**
Open-market purchase = the deal: entry price vs. the scenario distribution (the -20.2% finding) + position sizing.

> **PEOPLE READ**
> The defining fact is control: founder-CEO Huffman directs ~70.7% of the vote — his super-voting class plus an irrevocable proxy over Advance's shares — on roughly 3% economic ownership, and Reddit is a controlled company, which places it in the most-entrenched tier alongside the super-voting megacaps. The mitigants are real and more than most controlled companies offer: the Chair and CEO are separated under an independent chair, 7 of 8 directors are independent, and the company complies with independence rules despite the exemptions — which is why it is a 2 with strong mitigants rather than a 1. Key-person risk is high.

# Reddit, Inc. supporting analysis · disclaimers · glossary

Bear $70.10 Base $124.95 Bull $214.52

## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~91% gross margin and +62% growth is rare — why is the modal case negative?**
Quality isn't the issue; price is. At ~43x headline FCF even strong execution lands the base at ~-23% — the price already embeds the bull.

2 **Headline FCF overstates the cash.**
FCF was ~$0.70B (~32% of revenue) but SBC runs ~$300M+/yr; ex-SBC owner FCF is ~a quarter lower and dilutes — the model uses it.

3 **Data-licensing is the offsetting wildcard.**
Google (~$60M/yr) and OpenAI (~$70M/yr) deals are ~6% of revenue but high-margin and scaling — a scarce corpus, partly hedging traffic risk.

4 **The Google dependency is the whole thesis.**
~40-50% of traffic arrives via Google; AI-search answer-boxes that satisfy queries without a click are the threat, already denting growth in Q4-2025.

5 **Net cash, p_fail ~0.**
~$954M cash and no debt — no solvency risk; the entire downside is multiple/growth/traffic, not survival.

## FALSIFICATION TRIGGERS

### Bull validation

ARPU keeps climbing toward peer levels (+40%+) · daily uniques hold despite AI-search · data-licensing scales beyond ~6% of revenue

### Bear validation

daily-unique growth stalls for 2+ quarters · Google referral share visibly falls · another algorithm change dents traffic

### Reframe needed

if AI-search clearly disintermediates Google-sourced discovery, re-rate the terminal toward a shrinking platform — ultra-bear becomes the base

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## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Daily active uniques (DAUq)** — Unique logged-in + logged-out daily users (~126.8M, +17%) — the traffic base; its deceleration and Google-algorithm sensitivity are the central bear signal.

**ARPU** — Average revenue per user (~$5.23, +44%) — far below Meta, so the gap is the bull's monetization runway, the lever that lifts ad revenue without more users.

**Data licensing** — High-margin revenue from licensing Reddit's corpus for AI training (Google ~$60M/yr, OpenAI ~$70M/yr; ~6% of revenue) — a scarce-resource annuity, the wildcard to traffic risk.

**AI-search cannibalization** — AI answer-boxes (Google AI Overviews, ChatGPT) satisfying queries without a click-through to Reddit — the threat to the ~40-50% of traffic that arrives via Google.

**FCF margin** — Free cash flow / revenue, modeled ex-SBC (owner FCF, not the ~32% headline); SBC ~12% of revenue is a ~25% haircut to headline plus ongoing dilution.